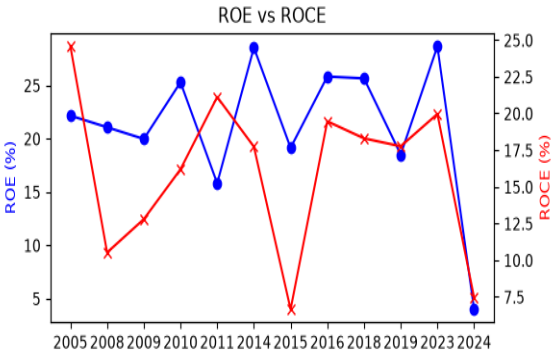
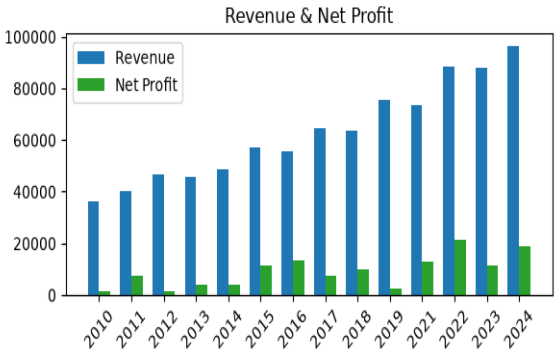
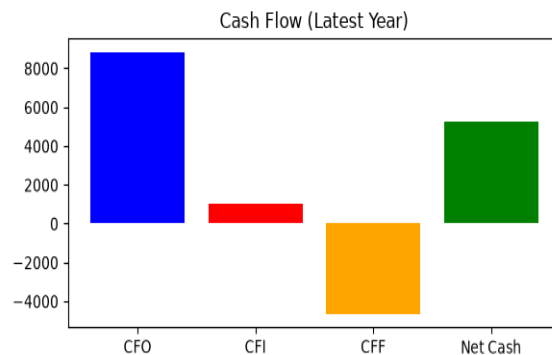
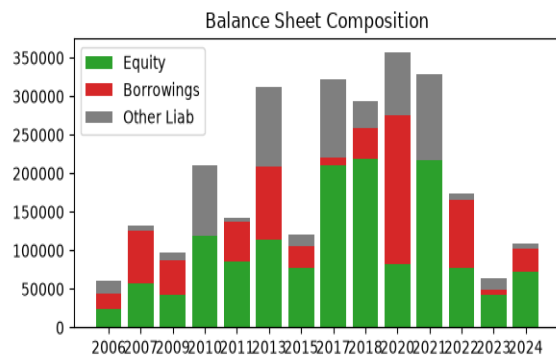


Torrent Power Ltd (TORNTPOWER)

Revenue	Rs. 96364.4 Cr	Net Profit	Rs. 19016.7 Cr	OPM	36.7%
ROE	4.0%	ROCE	7.5%	D/E	2.71





Capital Allocation Pattern: Cash Cow

Pros:

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Debt-to-equity ratio of 2.7 is elevated for a non-financial company and warrants monitoring
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital